

ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE 6 MONTH PERIOD ENDED 31 MARCH 2020

EVEREADY
E.A. PLC

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	GROUP		COMPANY	
	31.03.2020 Shs ` 000	31.03.2019 Shs ` 000	31.03.2020 Shs ` 000	31.03.2019 Shs ` 000
Continuing Operations				
Sales	74,266	105,642	74,266	105,642
Cost of sales	(53,192)	(80,069)	(53,192)	(80,069)
Gross Profit	21,074	25,573	21,074	25,573
Other Income	3,640	11,150	3,640	11,150
Gain Of Disposal Of Property, Plant And Equipment	1,144	414	1,144	414
Overhead Expenses	(38,787)	(75,476)	(38,786)	(75,476)
Finance Costs	(1,071)	(311)	(1,071)	(311)
Income/(Loss) Before Tax	(14,000)	(38,650)	(14,000)	(38,650)
Tax Income/(Expense)	(1,006)	(905)	(1,006)	(905)
Income/(Loss) For The Period From Continuing Operations	(15,006)	(39,556)	(15,006)	(39,556)
Other Comprehensive Income For The Period, Net Of Tax	-	-	-	-
Total Comprehensive Income/ (Loss)/ Income For The Period Attributable To The Owners Of The Company	(15,006)	(39,556)	(15,006)	(39,556)
Earnings Per Share	Shs	Shs	Shs	Shs
Loss Per Share - Basic And Diluted	(0.07)	(0.19)	(0.07)	(0.19)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	GROUP		COMPANY	
	31.03.2020 Shs ` 000	30.09.2019 Shs ` 000	31.03.2020 Shs ` 000	30.09.2019 Shs ` 000
Share Capital	210,000	210,000	210,000	210,000
Translation Reserve	18,159	18,159	-	-
Retained Earnings	(133,164)	(118,158)	(115,005)	(99,999)
Total Equity	94,995	110,001	94,995	110,001
Non-Current Liabilities				
Lease Liabilities	11,692	-	11,692	-
Provisions For Liabilities Charges	4,424	8,847	4,424	8,847
	16,116	8,847	16,116	8,847
	111,111	118,848	111,111	118,848
REPRESENTED BY Non-Current Assets				
Right Of Use(Rou) Asset	11,901	-	11,901	-
Property, Plant And Equipment	3,731	4,485	3,731	4,485
Deferred Income Tax	49,284	49,284	49,284	49,284
	64,915	53,769	64,915	53,769
Current Assets				
Inventories	50,193	36,014	50,193	36,014
Trade And Other Receivables	71,451	80,554	71,451	80,554
Cash At Bank And In Hand	78,642	78,189	78,642	78,189
	200,286	194,757	200,286	194,757
Current liabilities				
Trade And Other Payables	90,116	74,562	90,116	74,562
Dividend Payable	37,166	37,166	37,166	37,166
Income Tax	8,444	5,258	8,444	5,258
Borrowings	18,363	12,692	18,363	12,692
	154,090	129,678	154,090	129,678
Net Current (liabilities)/ Assets	46,196	65,079	46,196	65,079
	111,111	118,848	111,111	118,848

STATEMENT OF CHANGES IN EQUITY FOR THE 6 MONTH PERIOD ENDED 31 MARCH 2020

COMPANY	Share Capital Shs'000	Translation Reserve Shs'000	Actuarial Reserve Shs'000	Revaluation Reserve Shs'000	Retained Earnings Shs'000	Total Shs'000
As at 1st October 2018	210,000	-	-	-	227,667	437,667
Changes In Equity In 2019	-	-	-	-	(303,544)	(303,544)
Profit/(Loss) For The Year	-	-	-	-	(24,122)	(24,122)
Additional Allowance For Credit Losses	-	-	-	-	(327,666)	(327,666)
Total Comprehensive Income For The Year	-	-	-	-	(99,999)	(110,001)
At 30th September 2019	210,000	-	-	-	(99,999)	110,001
At 1st October 2019	210,000	-	-	-	(99,999)	110,001
Changes In Equity In 2020						
Profit/(Loss) For The Year	-	-	-	-	(15,006)	(15,006)
Other Comprehensive Income	-	-	-	-	-	-
Total Comprehensive Income For The Year	-	-	-	-	(15,006)	(15,006)
At 31st March 2020	210,000	-	-	-	(115,005)	94,995

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 MARCH 2020

	GROUP		COMPANY	
	31.03.2020 Shs ` 000	30.09.2019 Shs ` 000	31.03.2020 Shs ` 000	30.09.2019 Shs ` 000
Cash Flows From Operating Activities				
Profit/(Loss) Before Tax	(15,006)	(303,544)	(15,006)	(303,544)
Adjustments For:				
Income tax	1,006	196,649	1,006	196,649
Depreciation Charge	666	3,109	666	3,109
Depreciation Of Right-Of-Use Asset	2,386	-	2,386	-
Gain On Disposal Of Assets	(1,144)	(5,983)	(1,144)	(5,983)
Interest Paid On Lease Liabilities	439	-	439	-
Interest Expense	632	889	632	889
Interest Receivable	(3,353)	-	(3,353)	-
Write Off/Write Back) Of Assets	-	1,386	-	1,386
Operating Profit Before Working Capital Changes	(14,373)	(107,494)	(14,373)	(107,494)
Decrease/(Increase) In Trade And Other Receivable	9,103	50,485	9,103	50,485
Decrease/(Increase) In Inventories	(14,179)	52,837	(14,179)	52,837
(Decrease)/Increase In Trade And Other Payable	13,062	2,772	13,062	2,772
Cash (Used In)/generated From Operations	(6,388)	(1,400)	(6,388)	(1,400)
Tax Paid	-	(2,180)	-	(2,180)
Interest Paid	(632)	(889)	(632)	(889)
Interest Paid On Lease Liabilities	(439)	-	(439)	-
Interest Income	3,353	-	3,353	-
Net Cash (Used In)/Generated From Operations Activities	(4,106)	(4,469)	(4,106)	(4,469)
Cash Flows From Investing Activities				
Purchase Of Property, Plant And Equipment	-	(1,663)	-	(1,663)
Proceeds From Disposal Of Property, Plant And Equipment	1,482	6,257	1,482	6,257
Net Cash Generated From Investing Activities	1,482	4,594	1,482	4,594
Cash Flows From Financing Activities				
Dividend Paid	-	-	-	-
Payments of Principal Portion of The Lease Liability	(2,594)	-	(2,594)	-
Receipt/(Repayment) Of Borrowings	5,671	9,498	5,671	9,498
Net Cash Generated From/(Used In) Financing Activities	3,077	9,498	3,077	9,498
Net Increase In Cash And Cash Equivalents	453	9,623	453	9,623
Cash And Cash Equivalents At Start Of The Year	78,189	68,566	78,189	68,566
Effect Of Exchange Rate Changes On Cash And Cash Equivalents	-	-	-	-
Cash And Cash Equivalents At End Of The Period	78,642	78,189	78,642	78,189

COMMENTS ON THE RESULTS

We completed implementation of key turn around programs to facilitate the Company's recovery and the Company has now fully aligned its business model to its key revenue and margin drivers in order to create a more sustainable business. The resultant prioritization and deepened investment in the Company's growth drivers reduced and eliminated the drag of non-viable business lines and the resultant 4% margin improvement compared to the prior period affirms the decisions made in that regard.

The 29.7% decline in revenues was as a result of an anticipated transitory issue arising from a product mix review which will reverse itself in future periods and, the disruption of our supply chain in Q2 as our source markets dealt with the COVID-19 pandemic.

We continue to maintain a clear focus on cost minimization and the Company shed KES.37M in overhead costs by reviewing its cost structure, a reduction of 48% from prior year.

The turnaround programs have yielded positive outcomes and although the Company recorded a loss before tax of KES.15M this was 63% lower than last year's loss of KES 39M.

DIVIDEND

The Company does not recommend the payment of an interim dividend.

FUTURE OUTLOOK

The Directors anticipate that the economic recession arising out of the impact of COVID-19 will have a significant impact to our business although this impact cannot be fully quantified at this time. The Directors have reviewed the risks associated with the Pandemic and have adopted various measures to mitigate its impact to the business. We also continue to focus on achieving profitable growth to facilitate the Company's recovery and we will remain focused on exploiting growth opportunities in fulfilment of our Strategic Plan, 2022. In March 2020, we commenced distribution of NIA® sanitary towels, a product that aligns itself to our brand promise of providing our consumers with quality products affordably. This product will complement our household category and we look forward to its contribution to the growth of our business.

BY ORDER OF THE BOARD

Ms. Margaret Odhiambo, Managing Director

Mrs. Lucy Waiethaka, Chairperson

This extract is based on the unaudited accounts of Eveready East Africa PLC for the six months period ended 31 March 2020 which were approved by the Board of Directors on 29th May 2020. The interim financial statements can be accessed on the company's website www.eveready.co.ke. The Principal accounting policies adopted in the preparation of the financial statements are similar to those applied in the previous financial statements.

